UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/01**
2284/01

Paper 1 Multiple Choice **October/November 2008**

1 hour

3627967433

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended

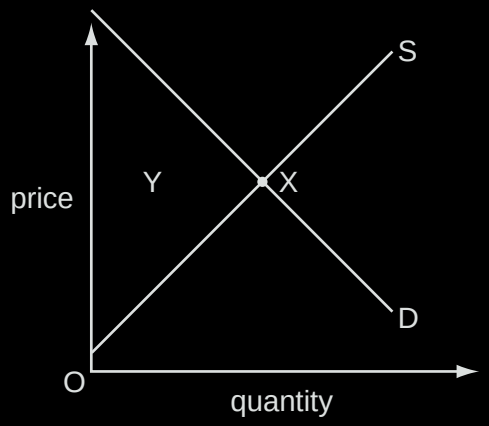
READ THESE INSTRUCTIONS FIRST

Write in soft pencil.
Do not use staples, paper clips, highlighters, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **forty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.



Which combination of demand and supply changes would result in a new equilibrium in the area marked Y?

	demand change	supply change
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 Four changes affecting the supply of a good are listed below.

Which would cause the supply curve to shift to the left?

A a decrease in its market price

B an improvement in technology

C an increase in labour productivity

D the introduction of a sales tax

13 Many people prefer to buy clothes from a local shop rather than travel to a specialist tailor to have them made.

Which combination of characteristics of the local shop would make this most likely?

A	easily accessible shop	high quality product	more expensive
B	easily accessible shop	average quality product	less expensive
C	shop owner known to customer	average quality product	more expensive
D	shop owner known to customer	poor quality product	less expensive